

BEFORE THE FEDERAL MARITIME COMMISSION

CARLSTAR GROUP LLC f/k/a)
CARLISLE TRANSPORTATION)
PRODUCTS, INC. and CTP)
TRANSPORTATION PRODUCTS, LLC,)

Complainants

v.

UTi, UNITED STATES, INC.; UTi)
UNITED STATES, LLC; and DSV)
AIR & SEA, INC.)

Respondents

DOCKET NO. 17-08

**COMPLAINANTS' SURREPLY IN FURTHER OPPOSITION TO
RESPONDENTS' MOTION TO DISMISS**

Complainants The Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC (collectively, "Carlstar"), respectfully submit this Surreply memorandum in further opposition to the Motion to Dismiss (the "Motion") filed by Respondents UTi, United States, Inc., UTi United States, LLC, and DSV Air & Sea, Inc. (collectively, "UTi").

ARGUMENT

UTi appears to be correct that the contract and amendments between the parties (the "Agreements") – identified in Carlstar's Verified Complaint ("Complaint") – are not "service contracts" as that term is used in 46 U.S.C. § 41104(2) and defined by 46 U.S.C. § 40102(20), because UTi is not a vessel-operating common carrier ("VOCC"). However, there are multiple bases upon which the Federal Maritime Commission (the "Commission" or "FMC") has subject matter jurisdiction to adjudicate Carlstar's overcharge claims against UTi in this case, and to impose reparations for the actual injury that Carlstar has suffered.

UTi concedes that “[o]ver the course of its existence, UTi operated as a non-vessel-operating common carrier (‘NVOCC’).” Reply at 4. UTi is therefore subject to the regulations promulgated under the Shipping Act of 1984 (the “Act”) that are applicable to NVOCCs, including those set forth in 46 C.F.R. Part 515 and 46 C.F.R. Part 531. As discussed below, it is clear that UTi has violated several of these regulations.

As an initial matter, as an NVOCC, UTi is likewise defined, under 46 C.F.R. § 515.2, as an “ocean transportation intermediary (OTI).” See 46 C.F.R. § 515.2. As an OTI, UTi has important duties that are relevant in this case. Significantly, under 46 C.F.R. § 515.31(e), UTi has a duty of accuracy with respect to its OTI transactions. See 46 C.F.R. § 515.31(e).¹ In addition, under 46 C.F.R. § 515.31(i), UTi is required to account to Carlstar for all overpayments. See 46 C.F.R. § 515.31(i).² Carlstar contends that UTi’s overcharging activities, described in detail in the Complaint, state a claim for relief under these regulations. Moreover, the Commission’s subject matter jurisdiction under the Act necessarily includes adjudicating violations of these regulations, and imposing reparations to Carlstar for the actual injury that these violations have caused.

¹ 46 C.F.R. § 515.31(e) provides:

(e) False or fraudulent claims, false information. No OTI shall prepare or file or assist in the preparation or filing of any claim, affidavit, letter of indemnity, or other paper or document concerning an ocean transportation intermediary transaction which it has reason to believe is false or fraudulent, nor shall any such OTI knowingly impart to a principal, shipper, common carrier or other person, false information relative to any ocean transportation intermediary transaction.

² 46 C.F.R. § 515.31(i) provides:

(i) Accounting to principal or shipper. An OTI shall account to its principal(s) or shipper(s) for overpayments, adjustments of charges, reductions in rates, insurance refunds, insurance monies received for claims, proceeds of C.O.D. shipments, drafts, letters of credit, and any other sums due such principal(s) or shipper(s).

Carlstar worked for months, both before and after filing its Complaint, requesting UTi to provide an accounting for the sums paid to UTi. Significantly, as described in the Complaint, Carlstar had evidence that UTi routinely overcharged it for OTI services. Carlstar merely requested documents and information necessary to verify the charges submitted by UTi to Carlstar for its services as a NVOCC. However, UTi was unable to provide Carlstar with much of the information which the Commission and the Shipping Act require to be maintained by a NVOCC. More specifically, UTi's claimed failure in this respect would, if true, violate 46 C.F.R. § 515.33, which requires a licensed NVOCC to "maintain in an orderly and systematic manner, and keep current and correct, all records and books of account in connection with its OTI business." See 46 C.F.R. § 515.33. The Commission certainly has the subject matter jurisdiction to address UTi's apparent failure to maintain this required documentation, in violation of 46 C.F.R. § 515.33, and to impose reparations to Carlstar for the actual injury that these violations have caused.

Moreover, it appears that the Agreements at issue in this case are properly characterized as an "NVOCC Service Arrangement ('NSA')," as defined under 46 C.F.R. § 531.3(p).³ Indeed, with respect to the Agreements, Carlstar is the NSA shipper, UTi is the NVOCC, and Carlstar granted UTi an exclusive NVOCC role – agreeing to provide UTi one hundred percent (100%) of its cargo or freight revenue during the original and amended contract terms, and UTi committed

³ 46 C.F.R. § 531.3(p) provides:

(p) NVOCC Service Arrangement ("NSA") means a written contract, other than a bill of lading or receipt, between one or more NSA shippers and an individual NVOCC or two or more affiliated NVOCCs, in which the NSA shipper makes a commitment to provide a certain minimum quantity or portion of its cargo or freight revenue over a fixed time period, and the NVOCC commits to a certain rate or rate schedule and a defined service level. The NSA may also specify provisions in the event of nonperformance on the part of any party.

to the specific rates and service levels set forth in the Agreements. *See* 46 C.F.R. § 531.3(p). Furthermore, because UTi provided service to Carlstar pursuant to an NSA, UTi was prohibited, under 46 C.F.R. § 531.6(d)(1), from providing service that was not “in accordance with the rates, charges, classifications, rules and practices contained in an effective NSA.” *See* 46 C.F.R. § 531.6(d)(1).⁴ Additionally, because the Agreements are an NSA, UTi was required to, but apparently failed to, file the Agreements with the Commission. *See* 46 C.F.R. § 531.5;⁵ 46 C.F.R. § 531.6(a);⁶ 46 C.F.R. § 531.8(a)(1).⁷ Therefore, UTi’s provision of services pursuant to the

⁴ 46 C.F.R. § 531.6(d)(1) provides:

(d) Other requirements.

(1) For service pursuant to an NSA, no NVOCC may, either alone or in conjunction with any other person, directly or indirectly, provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules and practices contained in an effective NSA.

⁵ 46 C.F.R. § 531.5(a) provides:

(a) The duty under this part to file NSAs, amendments and notices, and to publish statements of essential terms, shall be upon the NVOCC acting as carrier party to the NSA.

⁶ 46 C.F.R. § 531.6(a) provides:

(a) Authorized persons shall file with BTA, in the manner set forth in appendix A of this part, a true and complete copy of:

(1) Every NSA before any cargo moves pursuant to that NSA; and

(2) Every amendment to a filed NSA no later than thirty (30) days after any cargo moves pursuant to that NSA amendment.

⁷ 46 C.F.R. § 531.8(a)(1) provides:

(a) Amendment.

Agreements likewise violated 46 C.F.R. § 531.11.⁸ UTi's apparent violations of these regulations also necessarily fall within the Commission's subject matter jurisdiction, including the Commission's authority to impose reparations to Carlstar for the actual injury that these violations have caused.

Finally, the Complaint alleges that UTi violated 46 U.S.C. § 41104(2) by charging rates greater than in a tariff or service contract. Carlstar believes that UTi may have had tariffs on file with the Commission during the relevant time period, but is not certain. UTi has not confirmed one way or another, and has not been willing to provide any such tariffs upon Carlstar's request. Moreover, the URL⁹ that UTi has posted on the Commission's website,¹⁰ which purportedly identifies an online repository for UTi's historical published tariffs during the relevant time period, links to a website that is no longer active and provides no substantive information regarding any UTi tariffs. The regulations require that the UTi tariffs be available to the public.

Moreover, while UTi claims that, as an NVOCC, it did not enter into service contracts with Carlstar, UTi presumably entered into service contracts with VOCCs. Indeed, the Agreements clearly contemplated that UTi would seek rates that were more competitive than tariff rates.

(1) NSAs may be amended by mutual agreement of the parties. Amendments shall be filed electronically with the Commission in the manner set forth in § 531.5 and Appendix A to this part.

⁸ 46 C.F.R. § 531.11 provides:

Generally. Performance under an original NSA may not begin before the day it is effective and filed with the Commission. Performance under an NSA amendment may not begin until the day it is effective, provided that the amendment is filed no later than thirty (30) calendar days after the effective date.

⁹ <https://flexqms2.gocatapult.com/lcds/qms3-debug/qms3.html?tariff/#>

¹⁰ Fed. Mar. Comm'n, Inactive Ocean Transportation Intermediaries, <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=oti&inactive=yes>

Furthermore, UTi admits that the Agreements “called for all freight charges to Carlstar to mirror the charges between UTi and the Ocean Carrier.” Mot. at 9. Yet, again, Carlstar has not been able to definitively discern what pricing vehicle UTi used to move its cargo by ocean common carrier, and whether the amounts that UTi charged to Carlstar mirrored the charges between UTi and its VOCCs. Carlstar needs the UTi service contracts and other relevant documentation to more fully audit the millions of dollars of charges that were invoiced to it by UTi for NVOCC services.

While UTi contends that the Complaint lacks sufficient detail concerning the terms of the Agreements or disputed fees, Carlstar has pled sufficient facts to secure jurisdiction before the Commission. It is highly problematic for UTi to withhold the requested information and, in the same breath, request more details to sustain the Commission’s jurisdiction. Carlstar’s Complaint sets forth, in detail, clear evidence of overcharging in significant amounts over substantial periods of time. A definitive pleading is not required at this stage of a controversy before the Commission, nor is it possible. Yet, Carlstar understands its burden of proof, and is merely requesting that UTi provide all of the documentation used to calculate the various charges submitted to Carlstar. The Commission can clearly request the information from UTi required to be maintained by the regulations. Additionally, the Commission can make certain UTi complies with the requirements relating to the filing of service contracts, service arrangements and tariffs.

If UTi refuses to provide Carlstar with the documents, the Commission should enforce its regulations and request that UTi produce the documents and information. UTi promised a full production of documents to Carlstar for months as part of Carlstar’s effort to work with UTi to informally resolve these issues without the Commission’s intervention. UTi likewise promised a full production of documents to Carlstar to justify a stay of these proceedings so that the parties could continue that process. Yet, with each deadline was another excuse as to why the documents

could not be provided, forcing Carlstar to seek the involvement of the Commission. Again, the documents that are available clearly indicate that UTi overcharged Carlstar by substantial sums, including by all of the mechanisms detailed in the Complaint, and the documents provided to date suggest that there are potentially greater overcharged sums not yet identified.

The Commission should be highly concerned that UTi is apparently unable to account to its shipper to justify millions of dollars of charges, and to provide the records concerning its OTI business activity that it is required to maintain. At the very least, the Commission should permit Carlstar to conduct discovery in this case to enable it to understand the basis upon which UTi invoiced Carlstar for these charges. At a minimum, the Commission should compel UTi to identify and produce to Carlstar all of the documents that UTi is required to have maintained, and which UTi should have already been able to produce to Carlstar without the Commission's intervention. If UTi submitted invoices that contained false information, then it is not a contractual argument. Instead, it is a clear violation of the Shipping Act and the duties owed by a NVOCC to a shipper, as well as to the Commission. The Commission has clear authority to hear evidence of these violations and to award reparations to Carlstar for the damages that resulted from the violations by UTi.

CONCLUSION AND RELIEF REQUESTED

For the reasons set forth above, as well as those set forth in Carlstar's opening brief, Carlstar respectfully requests that the Commission deny UTi's Motion to Dismiss.

Respectfully submitted this 31st day of January, 2018.

/s/ Derek H. Swanson

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing documents upon all parties noted below by mailing via electronic mail a copy to each such person:

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